

FM Lecture 3: Statement of Profit or Loss & Cash Flows

Schaefer Chapters 5 (excl. 5.5) & 6 + Lecture 3 Slides

Schaefer - Principles of Financial Management

Study Notes

LECTURE CONTEXT & LEARNING OBJECTIVES

From the News: Cash Flow vs Revenue

If you run out of cash, you stop paying salaries and supplier invoices -- and you will be left alone. Cash is king.

- **Revenue-driven bankruptcies:** Toys R Us (2017, Amazon/Walmart competition + heavy debt), Blockbuster (2010, streaming shift). Pattern: revenue declines -> fixed costs remain -> margins compress -> operating losses -> debt unserviceable -> liquidity crisis
- **Cash-driven bankruptcies:** Toys R Us (leveraged buyout, profitable on paper but interest drained cash), DeLorean (1982, production delays exhausted working capital), Pan Am (1991, rising fuel costs + declining sales)
- Lesson: profitable on paper does not mean solvent. Both revenue and cash matter -- together is better.

From the News: examples of **revenue** related bankruptcies

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you are a financial expert. can you name some examples of companies that went bankrupt because of revenue problems?

Toys "R" Us

- Bankruptcy in 2017
- Sales steadily declined due to Amazon, Walmart, and changing shopping habits, which made its heavy debt load unmanageable.



Key Financial Pattern Behind These Failures

Across these cases, the mechanism is similar:

1. **Revenue declines** (competition, disruption, or demand shift)
2. Fixed costs remain high (stores, factories, leases)
3. Margins compress → operating losses
4. Debt becomes unserviceable
5. Liquidity crisis → bankruptcy

Blockbuster

- Video rental giant that went bankrupt in 2010
- Core issue: collapsing revenue as consumers shifted to streaming services and DVDs by mail.
- Fixed store costs remained high while revenue fell.



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Figure: Revenue-related bankruptcy pattern -- from declining revenue to liquidity crisis

Nestle Context

Nestle underperformed peers over 5 years (normalized index ~130 vs Mondelez ~180, PepsiCo/Coca-Cola ~150-160). Revenue peaked at CHF 94.4B in 2022, declined to 89.5B by 2025. Factors: negative volume growth (RIG), Swiss Franc strength (-7.8% in 2023), strategic divestitures.

Learning Objectives

- Be able to read and understand the statement of profit or loss
- Be able to calculate and interpret the free cash flow
- Understand the differences between the Statement of Profit or Loss and the Statement of Cash Flows
- Preparation: Self-study of Schaefer chapters 5 and 6

CHAPTER 5: STATEMENT OF PROFIT OR LOSS

5.1 Introductory Example: Looser Group

The textbook uses the Looser industrial group to introduce P&L analysis. In 2012, Looser increased sales by 3.9% to CHF 472.9M. After adjusting for currency, acquisitions, and divestments, organic growth was 4.2%. Key questions:

- What does sales development tell us about the company?
- What figures besides sales are important for assessing earnings?
- Why is segment reporting important?

5.2 Definition: P&L vs Comprehensive Income

The statement of profit or loss provides information about a company's profitability by comparing output (revenue) and input (expenses) for the reporting period. Under IFRS, it is an integral part of the statement of other comprehensive income.

Two Components of Comprehensive Income

Profit or Loss = Revenue - Expenses (the 'regular' P&L). Other Comprehensive Income (OCI) = items recognized outside P&L (currency translations, hedge reserves, revaluation surplus, actuarial gains/losses). Total Comprehensive Income = Profit or Loss + OCI.

Items in OCI are split into two categories:

- **Items that may be reclassified** to P&L later (e.g., currency retranslations, hedge reserves)
- **Items that will never be reclassified** to P&L (e.g., remeasurement of defined benefit plans, fair value changes of equity instruments)

5.3 COGS Method (Cost of Goods Sold / Function of Expense)

The COGS method classifies expenses by their function (production, distribution, admin, R&D). This is the more modern approach and allows calculation of a gross profit margin.

$$\text{Sales Revenue} - \text{COGS} = \textbf{Gross Profit}$$

$$\text{Gross Profit} - \text{Distribution} - \text{Admin} - \text{Other} = \textbf{EBIT}$$

COGS Method Characteristics

Advantages: Allows gross profit calculation; shows costs by department (production, sales, R&D). Disadvantage: Total expense types (total personnel, total depreciation) are NOT disclosed -- important detail for cost-saving measures is hidden.

Example: Nestle 2024 (COGS Method)

Line Item (CHF millions)	2024	2023
Sales	91,354	92,998
Cost of goods sold	(48,670)	(50,328)
Distribution expenses	(7,567)	(7,765)
Marketing & admin expenses	(18,112)	(17,549)
R&D costs	(1,667)	(1,656)
Other trading income/(expenses)	(1,071)	(1,533)
Trading operating profit	14,633	14,520
Other operating income/(expenses)	91	(457)
Operating profit (EBIT)	14,724	14,063
Financial result	(1,485)	(1,360)
Profit before taxes	13,239	12,703
Taxes	(3,314)	(2,314)
Income from associates/JV	1,249	1,120
Profit for the year	11,174	11,509

Despite decreasing sales, most earnings increased. The increase in profit of the year is driven by income from non-controlled entities.

Key Definitions from Nestle P&L

- **Associates:** Subsidiaries owned less than 50% by Nestle
- **Joint ventures:** Owned 50% by Nestle
- **Non-controlling interests (NCI):** Other owners (e.g., Chinese subsidiary 20% owned by government)

Example: On AG 2024 (COGS Method)

On AG's P&L demonstrates the COGS method for a growth company:

CHF millions	2024	2023	2022
Net sales	2,318	1,792	1,222
Cost of sales	(913)	(725)	(537)
Gross profit	1,406	1,067	685
SG&A expenses	(1,194)	(887)	(600)
Operating result	212	180	85
FX gain/(loss)	68	(111)	(7)
Net income	242	80	58

5.4 Total Cost Method (Nature of Expense)

The total cost method classifies expenses by their nature (materials, personnel, depreciation). It was the method taught in the Accounting lecture.

$$\text{Sales} + \Delta \text{Inventories} - \text{Materials} - \text{Personnel} - \text{Depreciation} - \text{Other} = \text{EBIT}$$

Total Cost Method Characteristics

Advantages: Discloses total amounts by expense type (total depreciation, total material, total personnel). Disadvantage: No expense details by department (production vs sales vs R&D); no gross profit calculation possible.

Example: Swatch Group 2024 (Total Cost Method)

CHF million	2024	%	2023	%
Net sales	6,735	100.0	7,888	100.0
Other operating income	263	3.9	136	1.7
Changes in inventories	213	3.2	687	8.7
Material purchases	(1,345)	(20.0)	(1,864)	(23.6)
Personnel expense	(2,506)	(37.2)	(2,550)	(32.3)
Depreciation & impairment	(416)	(6.2)	(390)	(5.0)
Other operating expenses	(2,640)	(39.2)	(2,716)	(34.4)
Operating result	304	4.5	1,191	15.1
Net result	219	3.3	890	11.3

Comparison: COGS Method vs Total Cost Method

Both methods start with sales revenue and arrive at EBIT. Differences exist only above EBIT:

- **COGS method:** Expenses classified by function (production, distribution, admin). Calculates **gross profit**. Below EBIT: identical.
- **Total cost method:** Expenses classified by nature (materials, personnel, depreciation). Includes **inventory changes**. Below EBIT: identical.

Comparing the COGS method and the total cost method reveals that differences are only up to EBIT.

Sales revenue	
Total cost method	Cost of goods sold method
+ Other operating revenue	
+/- Changes in inventories of finished goods and unfinished goods	- Cost of goods sold (COGS)
- Costs of raw materials and supplies	= Gross profit
- Costs of employee benefits	
- Costs of depreciation	- Distribution costs
- Other expenses	- Administrative expenses
	- Other expenses
+/- Income from discontinued operations	
Operating Income (EBIT)	
+/- Financial income and expenses	
+ Income from investments in equity companies (consolidation)	
Earnings before taxes (EBT)	
- Taxes	
Profit of the period	
Income attributable to shareholders of the parent	
Minority interests	

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Figure: COGS method vs Total Cost method -- both lead to EBIT, differences only above EBIT

Below EBIT, both methods follow the same structure:

$$\text{EBIT} \pm \text{Financial Result} = \text{EBT}$$

$$\text{EBT} - \text{Taxes} + \text{Income from Associates} = \text{Profit for the Period}$$

- Profit split into: attributable to shareholders of the parent (net profit) and non-controlling interests

Revenue Recognition (IFRS 15)

Revenue is recognized when control of goods has transferred to the customer (mainly upon arrival), not when the contract is signed, invoice issued, or payment received.

IFRS 15 Five-Step Model (since January 2018)

- (1) Identify the customer contract
- (2) Identify the company's contractual delivery obligations (performance obligations)
- (3) Determine the transaction price
- (4) Allocate transaction price to contractual delivery obligations
- (5) Recognize revenue as the company fulfills each delivery obligation

Revenue Recognition Timing

Revenue is recognized at the moment of 'handing over' to the customer, at the value the company can expect from the return service. IFRS 15 introduces more judgment, e.g.: long-term construction (percentage of completion), telecoms (24-month subscription with phone for CHF 1 -- each is a separate performance obligation).

Nestle Revenue Policy

- Recognized when control of goods has transferred to the customer (mainly upon arrival)
- Measured at expected consideration after deductions (returns, taxes, discounts, allowances, promotions)
- Credit terms are short-term, in line with market practice, no financing component

Nestle COGS Policy

- COGS includes: raw materials, packaging, direct labor, energy, manufacturing overheads, depreciation of factory assets
- Adjusted for: inventory variation, royalties, amortization of acquired licenses
- Also includes: maintenance/depreciation of equipment used in sales (coffee machines, water coolers)

Impairments (from Lecture)

Trade Receivables (IFRS 9)

- Recognized initially at transaction price, measured at amortized cost less loss allowances
- Nestle applies IFRS 9 simplified approach: expected credit losses (ECLs) based on 3-5 year actual loss experience
- Credit impaired when: significant financial difficulty of customer, or bankruptcy becoming probable

Goodwill and Intangible Assets (Recap)

- Indefinite life / not-yet-available assets: tested for impairment at least annually
- Finite life assets: tested when indicators of impairment exist
- Tests at CGU (cash generating unit) level, defined by product category per zone
- Compare carrying amount with recoverable amount (usually fair value less disposal costs)
- Goodwill impairment is **never subsequently reversed**

Provisions and Contingencies (Lecture Detail)

- **Provisions:** Liabilities of uncertain timing or amount from restructuring, environmental, litigation risks
- Recognized when: legal/constructive obligation from past event + future cash outflows can be reliably estimated
- Measured at present value unless discounting is immaterial
- Recognition threshold: **>50% probability**
- **Contingent assets/liabilities:** Possible rights/obligations confirmed only by uncertain future events not fully within the company's control

Key Accounting Judgments and Estimates (Nestle)

Areas requiring higher degree of judgment and estimation:

- Assessment of control and fair value in business combinations/disposals
- Recognition and estimation of revenue
- Identification of lease and lease term
- Identification of CGUs and estimation of recoverable amounts for impairment tests
- Assessment of useful lives of intangible assets (finite vs indefinite)
- Measurement of employee benefit obligations
- Recognition and measurement of provisions
- Estimation of current and deferred taxes, including uncertain tax positions

CHAPTER 6: STATEMENT OF CASH FLOWS

6.1 Introduction: Why Cash Flow Matters

Profit must not automatically result in more cash. The statement of cash flows complements the P&L with the 'cash is king' perspective. It shows where cash comes from and where it goes.

Structure of the Statement of Cash Flows

Cash flow from operating activities + Cash flow from investing activities + Cash flow from financing activities +/- Currency effects = Change in cash and cash equivalents

6.2 Cash Flow from Operating Activities

Two methods can be used to calculate operating cash flow:

Direct Method

Starts from actual cash receipts and payments:

- (+) Cash receipts from sales of goods/services
- (+) Cash receipts from fees, commissions, other earnings
- (-) Cash payments to suppliers (COGS)
- (-) Cash payments to/for employees
- (-) Cash payments for other operating expenses
- (+/-) Interest, dividends, and taxes (optional placement)

= CashFlowfromOperatingActivities(Direct)

Advantage: Offers additional information (cash-effective income and expenses). Disadvantage: Requires separate data collection, significant effort.

Indirect Method

Starts from EBIT and adjusts for non-cash items and working capital changes:

EBIT

+Depreciation & Impairments (non-cash expense)

+Increase in provisions (non-cash expense)

–Extraordinary gains (non-cash revenue)

±Changes in operating working capital:

- (-) Increase in accounts receivable (funds commitment)
- (-) Increase in inventories (funds commitment)
- (+) Increase in accounts payable (source of funds)

±Interest, dividends, taxes

= CashFlowfromOperatingActivities(Indirect)

Advantage: Minimal effort, uses information from existing financial reporting. Disadvantage: Companies can define it differently, making comparison difficult.

Example: Nestle 2024 Operating Cash Flow (Indirect)

CHF millions	2024	2023
Operating profit (EBIT)	14,724	14,063
Depreciation and amortization	3,582	3,458
Impairment	580	647
Other non-cash items	(167)	303
CF before WC changes	18,719	18,471
Working capital changes	1,208	1,134
Other operating assets/liab.	(334)	(425)
Cash from operations	19,593	19,180
Interest paid	(1,539)	(1,330)
Interest/dividends received	273	193
Taxes paid	(2,411)	(2,801)
Dividends from associates/JV	759	699
Operating cash flow	16,675	15,941

Case Study: On AG -- Negative Operating Cash Flow Despite Profit

On AG's IPO year (9 months ended Sep 30, 2021) illustrates the disconnect between profit and cash:

- Net income: CHF 16.8M (positive)
- But: trade receivables increased CHF 51.2M, inventories increased CHF 40.9M (growth requires WC)
- **Cash flow from operating activities: CHF (8.5M)** -- negative despite profit!
- Financed by IPO: Cash flow from financing = CHF 609M (one-time event)

One year later (9 months ended Sep 30, 2022), the situation worsened:

- Net income: CHF 84.1M (higher profit)
- But: receivables grew CHF 74.9M, inventories grew CHF 123M
- **Cash flow from operating activities: CHF (157M)** -- even more negative!
- **Total change in cash: CHF (196M)** -- burning through IPO cash

Key Lesson: Profit Does Not Equal Cash

A fast-growing company can be profitable but cash-negative because growth requires building up inventories and receivables (working capital investment). An IPO provides a one-time cash injection, but the underlying operating cash flow must eventually turn positive.

Start-ups and fast-growing companies like On face the challenge that the cash flow from operating activities do not fuel the growth.



Consolidated Interim Statements of Cash Flow (unaudited)

(CHF in thousands)	For the nine months ended September 30,	
	2021	2020
Net income / (loss)	16,751	(24,961)
Share-based compensation	22,018	39,607
Employee benefit expenses	1,091	598
Depreciation and amortization	19,391	8,133
Interest income and expense	1,806	430
Net exchange differences	(1,432)	1,227
Income taxes	14,688	3,307
Change in provision	2,351	1,116
Trade receivables	(51,218)	(15,410)
Inventories	(40,914)	(29,720)
Trade payables	8,373	5,348
Change in other current operating assets and liabilities	1,038	4,067
Income taxes paid	(2,218)	(5,036)
Cash flow from operating activities	(8,473)	(11,292)

Despite increasing sales (>+50%) and profit, the cash flow from operating activities is negative because of building up inventories and receivables. In the long run, this cash flow must be positive,

To fuel its growth, On significantly and continuously invests in tangible assets, which leads to cash outflow and a negative cash flow from investing activities (which is normal, however for established companies lower than the cash flow from operating activities).

Purchase tangible assets	(12,028)	(6,872)
Purchase of intangible assets	(8,127)	(5,051)
Payment of contingent considerations	(200)	(26)
Cash flow from investing activities	(20,355)	(11,950)
Repayment of financial liabilities	—	(3,000)
Payments of lease liabilities	(8,874)	(2,109)
Proceeds from issue of shares	618,262	133,266
Equity transaction costs	(363)	(1,464)
Interests paid	(1,598)	(425)
Cash flow from financing activities	609,427	126,268

The IPO contributed a sky-rocking inflow of cash. This inflow is absolutely necessary to cover the negative cash flows from operating and investing activities. However, IPO is a one-time option, and also the potential for further share increase is limited.

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Figure: On AG 2021 Cash Flow Statement -- negative operating CF despite >50% sales growth

6.3 Cash Flow from Investing Activities

Always calculated using the direct method:

- (+) Cash receipts from sales of PPE, intangibles, and other long-term assets
- (+) Cash receipts from sale of subsidiaries (less relinquished cash)
- (+) Cash receipts from other investments
- (-) Payments for acquisition of PPE, intangibles, long-term assets

- (-) Payments for acquisition of subsidiaries (less cash acquired)
- (-) Payments for other investments

Interpreting Investing Cash Flow

For large companies, negative investing CF is normal (replacement investment + acquisitions). A positive CF from investing typically indicates restructuring or asset disposal.

Example: Nestle 2024 Investing Cash Flow

CHF millions	2024	2023
Capital expenditure	(5,638)	(5,714)
Intangible assets	(325)	(489)
Acquisition of businesses	(809)	(211)
Disposal of businesses	(23)	215
Investments in associates/JV	(532)	(582)
Treasury investments	(1,251)	(80)
Other investing	(46)	665
Investing cash flow	(8,624)	(6,196)

6.4 Cash Flow from Financing Activities

Always calculated using the direct method:

- (+) Cash receipts from issuance of equity instruments (e.g., IPO, capital increase)
- (+) Cash receipts from assumption of financial liabilities (new bonds, loans)
- (-) Outflows for repayment of financial liabilities (bonds, loans maturing)
- (-) Outflows for repayment of capital to shareholders (buybacks)
- (-) Lease liability payments
- (-) Dividend payments

Example: Nestle 2023 Financing Cash Flow

CHF millions	2023	2022
Dividend paid (parent)	(7,816)	(7,829)
Dividends paid (NCI)	(174)	(323)
Purchase of treasury shares	(4,678)	(5,234)
Inflows from bonds/LT debt	7,992	9,806
Outflows bonds/leases/LT debt	(5,055)	(3,589)
Short-term financial debt	2,396	(2,537)
Financing cash flow	(7,362)	(9,758)

Note: Inflows from issuing new bonds and outflows for maturing bonds apply simultaneously.

6.5 Free Cash Flow (FCF)

Free cash flow indicates how much flexibility a company had during the year to decide on its future and ventures.

$$\text{Free Cash Flow} = \text{CF from Operating} + \text{CF from Investing} - \text{Minimum Dividend}$$

FCF Is Not Regulated

FCF is currently NOT regulated by IFRS, US GAAP, or Swiss GAAP FER. Companies may choose different calculations. FCF uses known positions but compares them to indicate financial flexibility. Often used as an indication for next year (if business is stable).

Example: Nestle FCF 2024

CHF millions	2024	2023
Operating cash flow	16,675	15,941
Capital expenditure	(5,638)	(5,714)
Intangible assets	(325)	(489)
Other investing	(46)	665
Free cash flow	10,666	10,403

Example: Geberit FCF 2024 (Different Calculation)

MCHF	2024	2023
Net cash from operations	847.6	857.9
Purchase/sale PPE & intangibles	(188.9)	(193.0)
Lease repayments	(16.5)	(16.7)
Interest & financing costs	(29.2)	(22.9)
Free cashflow	613.0	625.3

Note: Geberit includes lease repayments and interest in FCF; Nestle does not. This shows why cross-company FCF comparison requires caution.

FCF Decision Tree

What to do with free cash flow:

- **Positive FCF** -> Options: repay debt, invest in new businesses, buy back shares, increase dividends, increase cash reserves ('war chest')
- **Negative FCF** -> Options: increase equity (capital increase) or take on new debt

These decisions appear in the cash flow from financing activities. Cash flow should never be evaluated for just one year -- always look at 3 to 5 years.

PROFIT EFFECT VS CASH EFFECT

Timing Differences

Profit effect and cash effect may apply in different periods. Understanding when each occurs is critical:

Event	P&L Effect	SFP Effect	Cash Flow
Purchase (invoice)	No effect	+Inventory, +Payables	No effect
Pay supplier	No effect	-Cash, -Payables	Cash outflow
Sale (invoice)	Profit recognized	+Receivables, -Inv.	No effect
Customer pays	No effect	+Cash, -Receivables	Cash inflow

Key Insight

Profit is recognized when goods are sold (delivery), not when cash is received. Cash moves when payments are made/received. These events occur at different times. The indirect CF method reconciles EBIT back to actual cash by adjusting for these timing differences.

Worked Example: Trend Ltd.

Trend Ltd. trades shirts. Three transactions:

- Aug 30, 2023: Receives shirts from supplier for CHF 100,000 (invoice)
- Sep 29, 2023: Pays the invoice by bank transfer
- Oct 30, 2023: Sells all shirts to customer for CHF 150,000 (invoice)

Date	Financial Pos.	Profit/Loss	Cash Flow
Aug 30	+Pay 100, +Inv 100	(nothing)	(nothing)
Sep 29	-Cash 100, -Pay 100	(nothing)	Oper. -100
Oct 30	+Rec 150, -Inv 100	Sales +150, Exp -100	(nothing)

Profit of CHF 50,000 is recognized in October (when goods are sold), but cash outflow of CHF 100,000 occurred in September. The cash inflow from the customer has not yet occurred.

Interconnection of All Financial Statements

All five financial statements are connected:

- **P&L:** Revenue - Costs = Profit
- **Statement of OCI:** Profit + Other comprehensive income = Comprehensive income
- **Statement of Changes in Equity:** Comprehensive income + Transactions with shareholders = Change in equity
- **Statement of Cash Flows:** Operating + Investing + Financing = Change in cash
- Both change in cash and change in equity feed into the **SFP**: Cash + Other assets = Liabilities + Equity
- **Notes** provide explanations and details for all statements

Changes in cash flows change the level of cash at the end of the period, profit potentially increases equity in the SoFP.

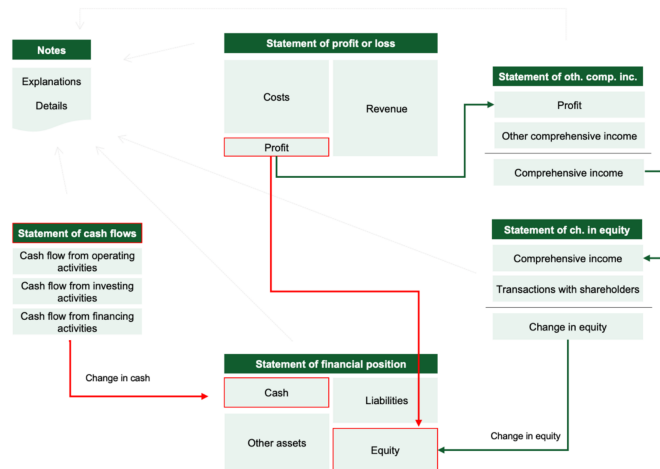


Figure: Interconnection of all five financial statements -- how P&L, OCI, equity, cash flows, and SFP relate

Statement of Comprehensive Income (Nestle 2024)

OCI represents 'shortly expected profit or loss' -- items where the effective P&L impact may change before settlement.

CHF millions	2024	2023
Profit for the year	11,174	11,509
Currency retranslations	798	(4,154)
Cash flow hedge reserves	895	194
Share of OCI from associates	14	(197)
May-be-reclassified items	1,707	(4,157)
Defined benefit remeasurement	318	(623)
Equity instrument fair value	33	163
Never-reclassified items	576	(500)
Other comprehensive income	2,283	(4,657)
Total comprehensive income	13,457	6,852

Example: If a USD payment on Jan 15 is hedged, the profit/loss from this hedge exists as of Dec 31, but the actual profit/loss may change until Jan 15 as exchange rates move. The Dec 31 value is 'theoretical' and goes in OCI.

Statement of Changes in Equity (Nestle 2024)

The statement shows how equity changes during the year:

- Opening equity (Jan 1, 2024): CHF 36,387M
- (+) Profit for the year: CHF 11,174M
- (+) Other comprehensive income: CHF 2,283M
- = Total comprehensive income: CHF 13,457M
- (-) Dividends: CHF (7,990M)
- (-) Treasury share movements: CHF (4,559M)
- (+) Equity compensation plans: CHF 132M
- = Total transactions with owners: CHF (12,601M)
- Closing equity (Dec 31, 2024): CHF 36,693M

Equity Growth Condition

Equity increases when comprehensive income exceeds transactions with owners (dividends + buybacks). In 2024 Nestle: comprehensive income CHF 13,457M > owner transactions CHF 12,601M, so equity grew by CHF 306M.

EXAM PRACTICE QUESTIONS

Exercise 4.1 (8 points): Motor Ltd. -- Total Cost Approach

Motor Ltd. produced 1,500 cars, sold 1,300 at CHF 20,000 each. COGS per car = CHF 11,000.

Expense (CHF)	Production	Admin	Marketing	Total
Material	5,000,000	1,000,000	800,000	6,800,000
Personnel	8,500,000	3,700,000	3,400,000	15,600,000
Depreciation	3,000,000	300,000	300,000	3,600,000
Total	16,500,000	5,000,000	4,500,000	

Additional: Interest paid CHF 1,000,000. Dividend CHF 500,000. Tax rate 30%.

Solution: Total Cost Approach

$$\text{Revenue} = 1,300 \times 20,000 = 26,000,000$$

$$\Delta \text{Inventory} = (1,500 - 1,300) \times 11,000 = 2,200,000$$

Item	Amount (M CHF)
Revenue	26.00
Change in inventory	2.20
Material expenses	(6.80)
Personnel expenses	(15.60)
Depreciation	(3.60)
EBIT	2.20
Financial expenses	(1.00)
EBT	1.20
Taxes (30%)	(0.36)
Profit of the period	0.84

Exercise 4.2 (2 points): COGS vs Total Cost Differences

Four differences (0.5 points each):

- (1) COGS structures by function (department); total cost by nature (cost type)
- (2) COGS does not disclose total expense types; total cost does
- (3) COGS discloses costs related to revenue; total cost includes inventory changes
- (4) COGS allows gross profit margin calculation; total cost does not

Exercise 1.7 (6 points): David Harleyson -- Operating CF

Trades motorcycles. Purchased 40 at CHF 35,000 each, sold 35 at CHF 44,000 each.

Direct Method

$$\text{Cash from sales} = 35 \times 44,000 = 1,540,000$$

$$\text{Cash paid} = 40 \times 35,000 = 1,400,000$$

$$\text{CF from operations (direct)} = 1,540,000 - 1,400,000 = \mathbf{140,000}$$

Indirect Method

$$\text{Profit} = 35 \times (44,000 - 35,000) = 315,000$$

$$\text{Increase in inventory} = 5 \times 35,000 = -175,000$$

$$\text{CF from operations (indirect)} = 315,000 - 175,000 = \mathbf{140,000}$$

Both methods yield the same result. Direct provides more detail but requires more effort; indirect uses existing reporting data.

SUMMARY OF KEY EQUATIONS AND TERMS

Key Equations

$$\text{Gross Profit} = \text{Sales} - \text{COGS}$$

$$\text{EBIT} = \text{Gross Profit} - \text{Distribution} - \text{Admin} - \text{Other} \quad (\text{COGS method})$$

$$\text{EBIT} = \text{Sales} + \Delta \text{Inv.} - \text{Mat.} - \text{Pers.} - \text{Depr.} - \text{Other} \quad (\text{Total cost})$$

$$\text{EBT} = \text{EBIT} \pm \text{Financial Result}$$

$$\text{Profit} = \text{EBT} - \text{Taxes} + \text{Income from Associates}$$

$$\text{Comprehensive Income} = \text{Profit} + \text{OCI}$$

$$\text{FCF} = \text{CF Operating} + \text{CF Investing} - \text{Min. Dividend}$$

$$\text{CF Operating (indirect)} = \text{EBIT} + \text{D\&A} \pm \Delta \text{Provisions} \pm \Delta \text{WC} \pm \text{Int/Tax}$$

Key Terms

Term	Definition
Statement of Profit or Loss	Shows revenue minus expenses = profit for the period
COGS Method	Expenses by function: production, distribution, admin, R&D
Total Cost Method	Expenses by nature: materials, personnel, depreciation
Gross Profit	Sales - COGS; only calculable under COGS method
EBIT	Earnings Before Interest and Taxes (operating profit)
EBT	Earnings Before Taxes = EBIT +/- financial result
OCI	Other Comprehensive Income: unrealized gains/losses outside P&L
IFRS 15	Revenue recognition: 5-step model, recognize at delivery
ECL (IFRS 9)	Expected Credit Loss model for trade receivable impairment
Statement of Cash Flows	Operating + Investing + Financing = Change in cash

Direct Method	CF from actual cash receipts/payments; more detail, more effort
Indirect Method	CF from EBIT adjusted for non-cash + WC; less effort
Operating CF	Cash generated by core business operations
Investing CF	Cash for/from long-term assets; normally negative for large companies
Financing CF	Cash from/for equity and debt; dividends, buybacks, bond issuance
Free Cash Flow (FCF)	CF operating + CF investing - min dividend; not IFRS-regulated
Working Capital	Receivables + Inventories - Payables; ties up cash
Accrual vs Cash	Profit when sold (accrual); cash when paid/received
Associates	Subsidiaries owned <50%; income reported separately
Non-Controlling Interests	Minority shareholders' portion of profit/equity